

How much should investors be willing to pay for corporate earnings? Some sceptics maintain US shares are overvalued even if solid fundamental conditions persist.

I readily admit that US shares are not as attractively priced as they were. At Goldman Sachs, we recommend at present that US portfolios allocate 60 per cent of their assets to equities, down from 70–75 per cent in 1995. But a 60 per cent weighting reflects our belief that equities can generate returns at least in line with growth in corporate earnings and cash flow—and thus that equities are not overvalued at present levels.

Valuation approaches vary by market. In some countries, yield-oriented approaches are the most statistically robust. In the US, earnings-related valuation models are the most helpful.

Nominal dividend yield is quite low in the US market at 2.2 per cent for the S&P 500. But this is tied to low inflation and a record low cash payout of 35 per cent of earnings.

Simply stated, dividends are low not because companies cannot afford to raise them but because they have decided against doing so. Most managements would prefer to reinvest in company operations, an apparently sensible action given average returns on equity of 20 per cent.

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In addition, share repurchases have been used as a tax-efficient alternative to paying cash dividends which is often preferred by tax-paying investors. Since the late 1950s, the last time dividend yields on equities exceeded bond yields, investors have increasingly depended on equities for earnings growth and capital appreciation rather than income.